

Like a money market instrument, a bond is an IOU issued by a company, a government, or some other institution. The main difference is that in the case of a bond, the issuer has more time to repay its debt.

When you buy a bond, you're basically lending a sum of money (the **principal**) to the issuer for a fixed period of time (the **term**). In return for the loan, the issuer pays you interest, computed at a fixed rate called the **coupon rate**. Interest is generally paid monthly or quarterly, but in the case of a **zero coupon bond** you won't receive any interest at all until the end of the bond's term. (The bonds you received as graduation or bar mitzvah gifts may have been zero coupon bonds.) When a bond reaches **maturity** at the end of its term, you're entitled (at least in theory) to get back your full initial investment.

So What's Risky About a Bond?

The risks associated with buying a bond can be divided into two categories. The first, which is often referred to as **default risk** or **credit risk**, is the possibility that the issuer may fall on hard times, and be unable to pay you interest or repay your principal the way it's supposed to.

The second, which is somewhat more complicated, is known as **interest rate risk**. Here's one way to think about this kind of risk: If interest rates rise unexpectedly fast during the period in which you own the bond, you won't be able to take advantage of them. You'll be left with the same fixed coupon rate, which will start to look worse and worse compared to prevailing market rates. And since inflation tends to rise along with interest rates, the dollars you receive when the issuer finally pays you back probably won't buy as much as you'd originally thought.

So why not simply sell your bond if interest rates rise unexpectedly and buy another one with a higher coupon rate? Unfortunately, you're not the only one who's thought of this. To do that, you'd need a buyer. And nobody is going to buy your low-coupon bond if a new, high-coupon bond can be had for the same price. Since the bond market, like the stock market, obeys the laws of supply and demand, the price you'll be able to get for your bond will drop as soon as interest rates rise. The higher interest rates climb, the less your bond will be worth. So you're stuck with it.

A bond that doesn't have much time left until its final payback date, though, won't drop in value all that much when interest rates rise. This is